

MATTHEWS™

MULTIFAMILY MARKET REPORT

SAN FRANCISCO, CA • Q2 2026

# San Francisco's AI Boom Fuels the Nation's Fastest Rent Growth

| VACANCY | COMPLETIONS | AVERAGE RENT | RENT GROWTH |
|---|---|---|---|
| 3.8% ↓ | 676 ↓ | $3,562 ↑ | +11.8% ↑ |
| Forecast EOY 3.5% | Forecast EOY 0 | Forecast EOY $3,720 | Forecast EOY +14.6% |
| Q2 2026 | TRAILING 12 MONTHS (TTM) | Q2 2026 | ANNUAL CHANGE |

## Demand

No market is running hotter than San Francisco. Rent surged to $3,562 in Q2, up 11.76% YoY. This is nearly double the pace of San Jose, the next-fastest major market nationally as AI-sector hiring pulls high-income renters back into the city faster than landlords can raise rates. Vacancy fell to 3.78%, down 97bps YoY and the tightest reading in a quarter-century, even though net absorption of just 197 units was modest by any normal standard. When a market has almost no new supply to lease up, it doesn't take much absorption to move vacancy this much. San Francisco's tightness right now is a supply story as much as a demand one.

## Supply

Completions have been zero in back-to-back quarters, and trailing-twelve-month deliveries have collapsed 57.4% to just 676 units. Roughly 20,000 entitled units reportedly sit stalled because the financing math doesn't pencil at today's construction costs and interest rates, even with rents this strong. There are small signs of life, with units under construction climbing for five straight quarters to 3,777 (1.97% of inventory) but at this pace, new supply isn't likely to meaningfully compete with existing inventory for years.

## Investment Market

Capital is taking notice of San Francisco's growth. The TTM volume climbed 8.0% to $3.6B, and Q2's $1.5B was up 74.7% YoY, the strongest single quarter in this stretch of data.

Cap rates have inched up to 4.82%, reportedly the highest level for San Francisco since 2011, a real shift after years of compression

### Volume

- $3.6B TTM volume (+8% YoY)
- Q2 2026: $1.5B (+75% YoY)
- Capital calling SF the top-conviction U.S. market

### Pricing

- Cap rate 4.82%
- Price per unit $444k
- Rent growth the fastest of any market (+11.8% YoY)

### Job Growth by Year



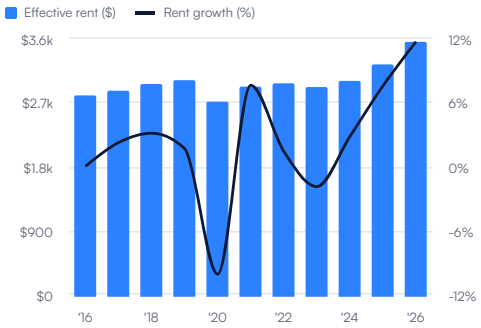

Source: BLS

### Completions vs Vacancy



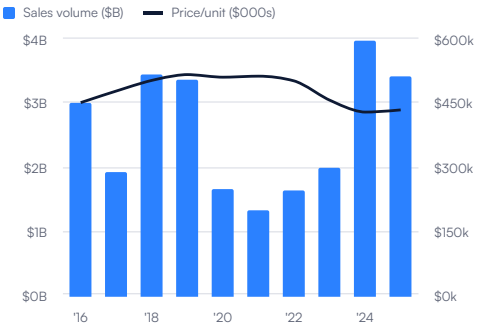

Source: CoStar

### Rent & Rent Growth




Source: CoStar

### Annual Sales Volume & Pricing



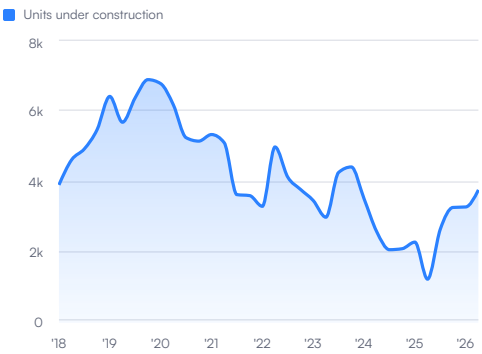

Source: CoStar

### Cap Rate Trends, Quarterly




Source: CoStar

### Units Under Construction, Quarterly




Source: CoStar

# Submarket Detail



## Vacancy

YOY %

| | | |
|---|---|---|
| 1 | Mission Bay/China Basin/Potrero Hill | 1.5% |
| 2 | Pacifica/Miramar/Half Moon Bay | 2.0% |
| 3 | South San Francisco/San Bruno/Airport | 2.1% |
| 4 | Marina/Pacific Heights/Presidio | 3.1% |
| 5 | San Mateo/Foster City | 3.1% |
| 6 | SoMa | 3.4% |
| 7 | Dolores/Castro/Mission | 3.5% |
| 8 | Richmond/Western Addition | 3.9% |
| 9 | Downtown San Francisco | 4.2% |
| 10 | Daly City/Brisbane | 4.6% |
| 11 | Bayview/Visitacion Valley | 4.7% |
| 12 | Civic Center/Tenderloin | 5.0% |
| 13 | Redwood City/Menlo Park | 5.1% |
| 14 | Sunset/Lakeshore | 6.2% |

## Rent Growth

YOY %

| | | |
|---|---|---|
| 1 | SoMa | +33.0% |
| 2 | Mission Bay/China Basin/Potrero Hill | +25.6% |
| 3 | Civic Center/Tenderloin | +12.6% |
| 4 | Richmond/Western Addition | +12.6% |
| 5 | Downtown San Francisco | +11.8% |
| 6 | South San Francisco/San Bruno/Airport | +9.7% |
| 7 | Bayview/Visitacion Valley | +9.3% |
| 8 | Dolores/Castro/Mission | +9.2% |
| 9 | San Mateo/Foster City | +9.1% |
| 10 | Daly City/Brisbane | +8.9% |
| 11 | Marina/Pacific Heights/Presidio | +5.3% |
| 12 | Redwood City/Menlo Park | +5.2% |
| 13 | Sunset/Lakeshore | +5.2% |
| 14 | Pacifica/Miramar/Half Moon Bay | +4.9% |

## Construction

UUC % OF INVENTORY

| | | |
|---|---|---|
| 1 | South San Francisco/San Bruno/Airport | 18.4% |
| 2 | Bayview/Visitacion Valley | 6.6% |
| 3 | Daly City/Brisbane | 5.5% |
| 4 | Redwood City/Menlo Park | 4.2% |
| 5 | Pacifica/Miramar/Half Moon Bay | 2.6% |
| 6 | San Mateo/Foster City | 1.5% |
| 7 | Downtown San Francisco | 1.2% |
| 8 | Sunset/Lakeshore | 0.2% |
| 9 | Marina/Pacific Heights/Presidio | 0.1% |
| 10 | Richmond/Western Addition | 0.0% |
| 11 | Civic Center/Tenderloin | 0.0% |
| 12 | Dolores/Castro/Mission | 0.0% |
| 13 | Mission Bay/China Basin/Potrero Hill | 0.0% |
| 14 | SoMa | 0.0% |

MARKET LEADER

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